Solara Dynamics Inc.

Annual Report — Fiscal Year 2026

Executive Summary

Solara Dynamics Inc. is a renewable energy technology company headquartered in Pune, Maharashtra, specializing in solar microinverters and battery storage systems for residential and commercial use. Fiscal Year 2026 marked a period of significant growth for the company, driven by expansion into Southeast Asian markets and the launch of the SolFlex 3000 microinverter line.

The company's net revenue for FY2026 grew by 14% year-over-year, reaching ■842 crore, compared to ■738 crore in FY2025. This growth was primarily attributed to a 22% increase in unit sales of the SolFlex product line and improved gross margins following the renegotiation of supplier contracts in Q2.

Financial Highlights

The board of directors approved a dividend payout ratio of 18% for FY2026, up from 15% in the prior year. Operating expenses increased modestly by 6%, primarily due to increased R&D investment in next-generation battery chemistry. The company's debt-to-equity ratio improved to 0.42, down from 0.51 in FY2025, reflecting stronger balance sheet management.

Metric	FY2025	FY2026	YoY Change
Net Revenue (■ crore)	738	842	+14%
Gross Margin	31.2%	34.8%	+3.6 pp
Operating Expenses (■ crore)	212	225	+6%
Net Profit (■ crore)	94	118	+25.5%
R&D Spend (■ crore)	48	61	+27%

The company's flagship product, the SolFlex 3000 microinverter, achieved a peak conversion efficiency of 98.6%, positioning it competitively against established players in the European and North American markets.

Regional Expansion

In Q3 FY2026, Solara Dynamics opened a new manufacturing facility in Hai Phong, Vietnam, with an annual production capacity of 2.4 million inverter units. This facility is expected to reduce logistics costs for Southeast Asian distribution by an estimated 19% starting FY2027.

The company also signed a strategic distribution agreement with GreenGrid Solutions, a Jakarta-based energy distributor, to serve the Indonesian residential solar market. This partnership is projected to contribute approximately ■40 crore in incremental annual revenue beginning in FY2027.

Risk Factors

Management has identified raw material price volatility, particularly for silicon wafers and lithium carbonate, as the most significant risk to gross margin stability in FY2027. The company has partially hedged exposure through fixed-price contracts covering approximately 60% of projected silicon demand through Q2 FY2027.

Currency fluctuation also poses a risk given the company's growing exposure to Vietnamese dong and Indonesian rupiah denominated contracts. The finance team has implemented forward contracts to hedge approximately 70% of projected foreign currency receivables for the next two fiscal quarters.

Outlook for FY2027

Management projects FY2027 net revenue growth of 18-22%, driven by full-year contribution from the Vietnam facility and continued expansion of the SolFlex product line, including the planned Q1 FY2027 launch of the SolFlex 5000, a higher-capacity unit targeting commercial rooftop installations.

The board has approved a capital expenditure budget of ■95 crore for FY2027, primarily allocated toward automation upgrades at the Pune facility and continued R&D investment in solid-state battery research.